BUSINESS MODEL INNOVATION

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Business Model Innovation

1. What is Business Model Innovation
2. Overcoming barriers to entry through business model innovation
3. Business Model Canvas. Examples:
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    - *Apple* *(7 min.)* *https://www.youtube.com/watch?v=EL9HE3DSZUM*
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    - *Southwest Airlines* *(7 min.)* *https://www.youtube.com/watch?v=HrUztDNkel4*

4. The art of innovation | Guy Kawasaki (21 min.) https://www.youtube.com/watch?v=Mtjatz9r-Vc

Some examples of new successful Business Models:





























Comercial Distribution	*** Wal-Mart** *** Mercadona**
Consumer goods	*** Zara** *** IKEA**
Enterntainment	*** Cirque du soleil** *** Netflix**
Air Transport	*** Southwest-Airlines** *** Easy jet-Airline**
New Tecnologies of information	*** Apple** *** Dell**
Internet Companies	*** Amazon** *** Google**
Social Business Models	*** Grameen Bank** *** Grameen Danone foods**

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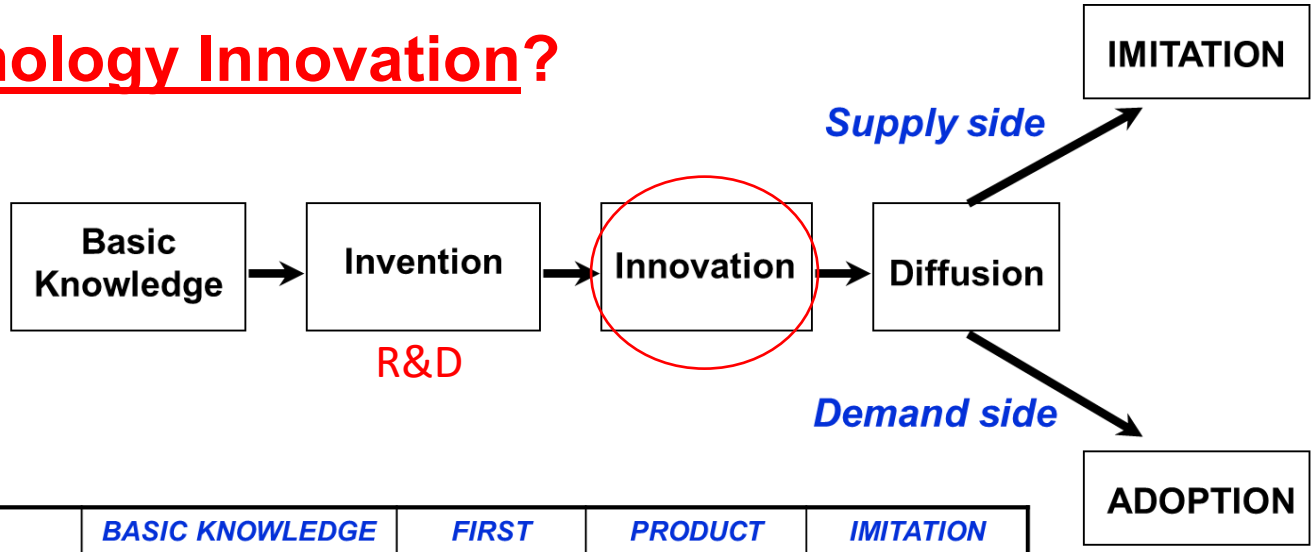
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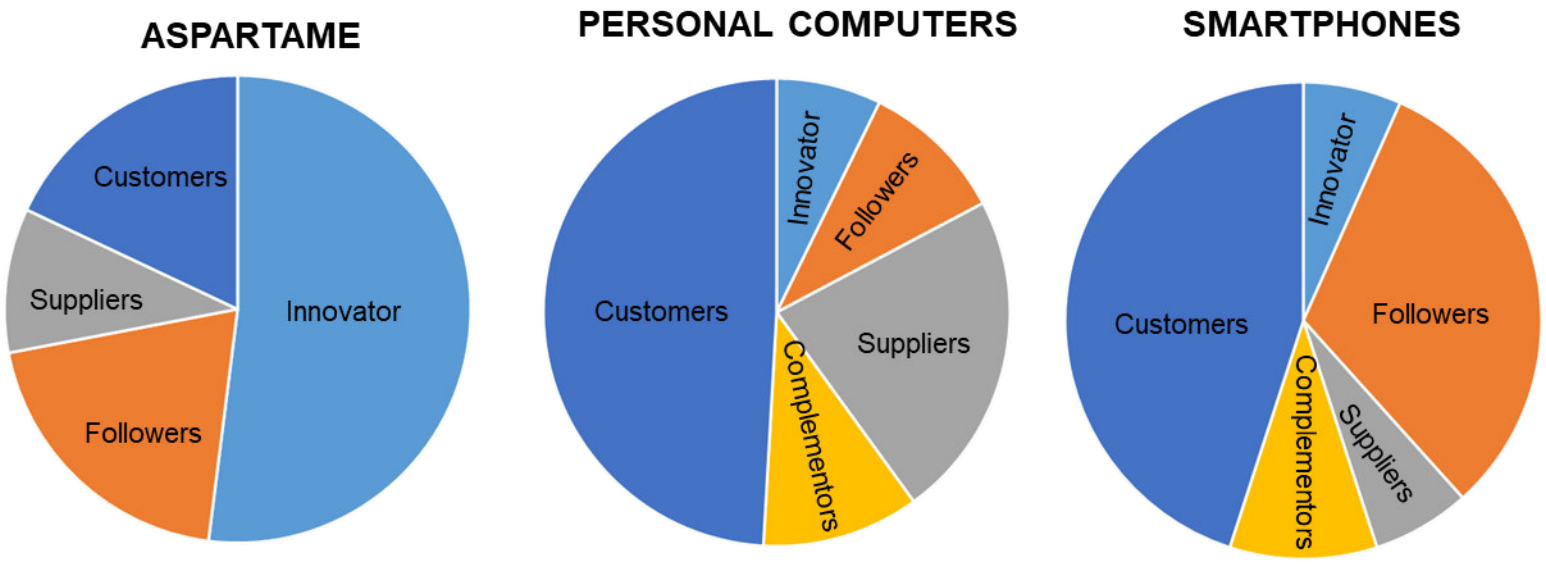
What is Tecnology Innovation?

Tecnology Innovation

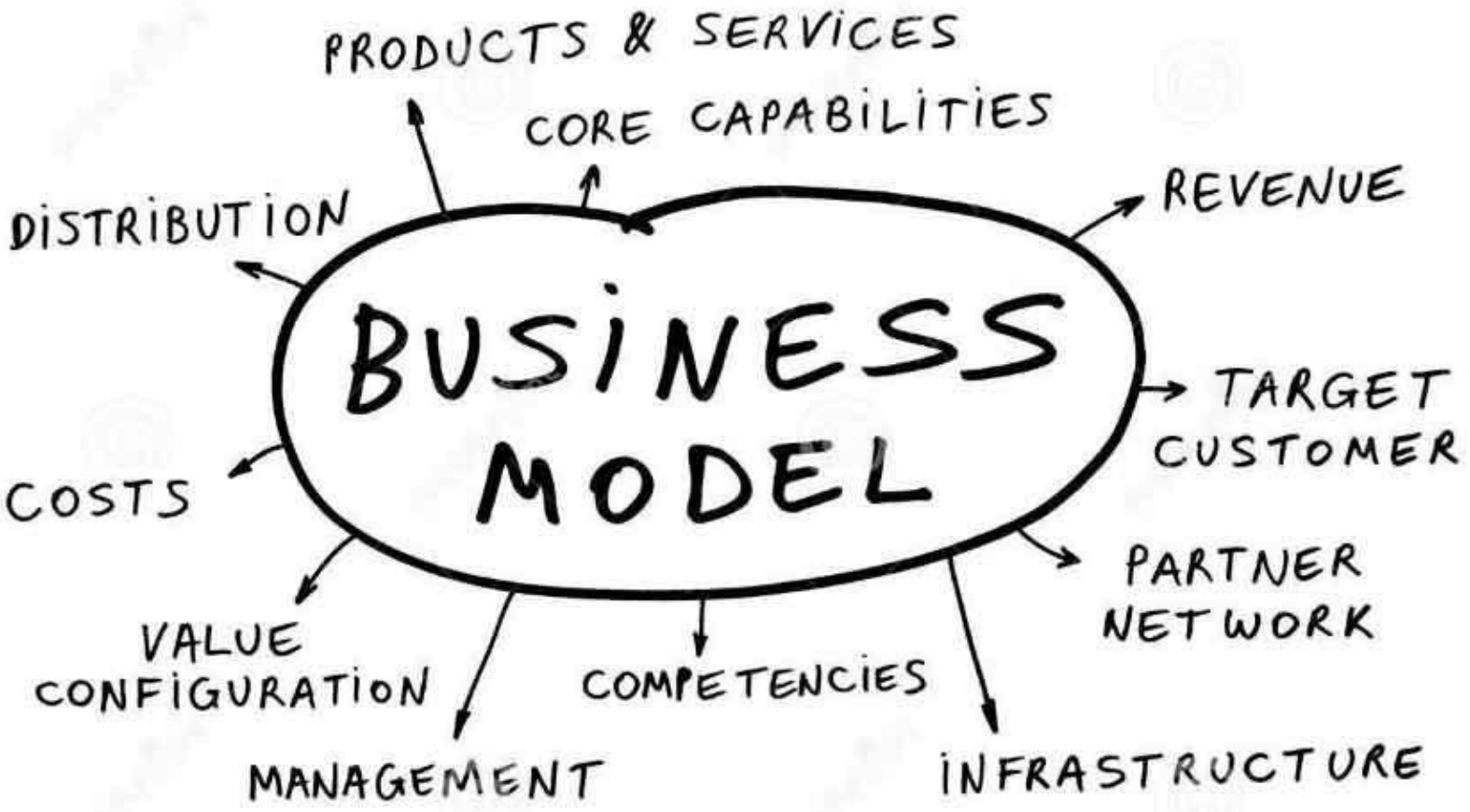


	BASIC KNOWLEDGE	FIRST PATENTS	PRODUCT LAUNCH	IMITATION
Jet Engines	17th century Newtonian physics	1930	1957	1959
Xerography	Late 19th, early 20th centuries	1940	1958	1974
Fuzzy logic controllers	1960's	1981	1987	1988
Automobile satellite navigation	Late 1950s	Early 1960s	1998	2002
MP3 players	Early 1990s	1994	1997	1999
Instant messaging	Late 1980s	2002	2008	2009

Appropriating Value: Who Gets the Benefits from Innovation?



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PRODUCTS & SERVICES
CORE CAPABILITIES
REVENUE
DISTRIBUTION
BUSINESS MODEL
TARGET CUSTOMER
COSTS
PARTNER NETWORK
VALUE CONFIGURATION
COMPETENCIES
MANAGEMENT
INFRASTRUCTURE

Business Model Innovation

1. What is Business Model Innovation? (8 m.) https://www.youtube.com/watch?v=B4ZSGQW0UMI

Four key questions for innovative start-ups?

1. *Which is the Value Proposition?*
2. *Who is your customer?*
3. *What product or service are you offering?*
4. *How do you generate revenue?*

1. Which is the Value Proposition?
2. Who is your customer? https://www.youtube.com/watch?v=EhVRGXffJwk

3. What product or service are you offering?

4. How do you generate revenue? https://www.youtube.com/watch?v=2C-2v99paQM

Why is so important Business Model Innovation?

If we look back, ...

- *In the last two decades, thirteen (13) of the twenty-six (26) new entrants in the "Fortune 500" have an innovative business model.*

  (Christensen, Johnson and Kagerman, 2008).

- *Many of these companies were new entrants (start-ups) and have broken strong entrant barriers, and have positioned themselves as leaders in their industries and markets.*

- The business model innovation *has restructured entire industries* and *occurs in mature industries and new industries*.

Some examples of new successful Business Models:



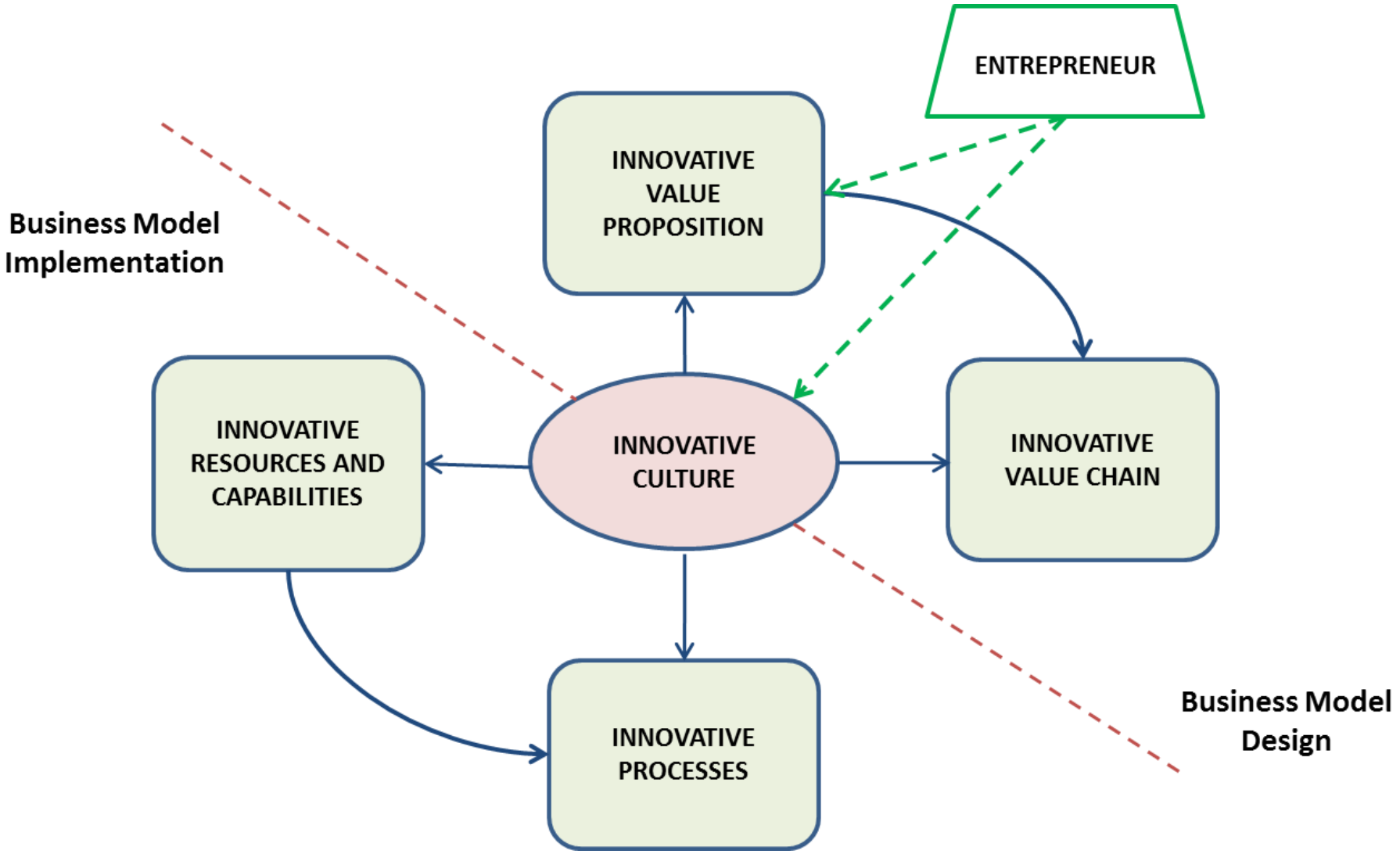
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Looking Ahead …… we wonder……?

- How many well-known companies of today will disappear in the next 10 years?
- Where is the next Google…… or Amazon ….?
- *How can I identify them*?

"A business model is a system that generates value for the customer and for the organization itself. It uses innovative resources and capabilities to operate interdependent activities which are the reflection of the strategy of the organization".

- Generates value for the customer (and for the organization)
- Uses Innovative Resources and capabilities
- Activities are interdependent one with the other.
- Those activities are done because they achieved targets ruled by the strategy of the organization.


ENTREPRENEUR
INNOVATIVE VALUE PROPOSITION
Business Model Implementation
INNOVATIVE RESOURCES AND CAPABILITIES
INNOVATIVE CULTURE
INNOVATIVE VALUE CHAIN
INNOVATIVE PROCESSES
Business Model Design

Five elements of an innovative business models

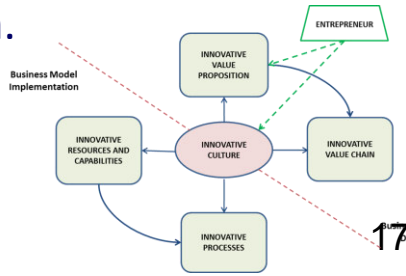
1st **Value proposition** for the customer and a way of capturing value for the organization.

2nd **Different value chain** compared to most competitors and/or the way they approach stakeholders.

3rd **Use innovative processes** more effective and efficient. They try to involve the customer on the processes of the organization.

4th **Innovative resources and capabilities**.

5th **Strong organizational culture**. It is spread by the key people of the organization, including CEOs and founders. Main value is innovation.

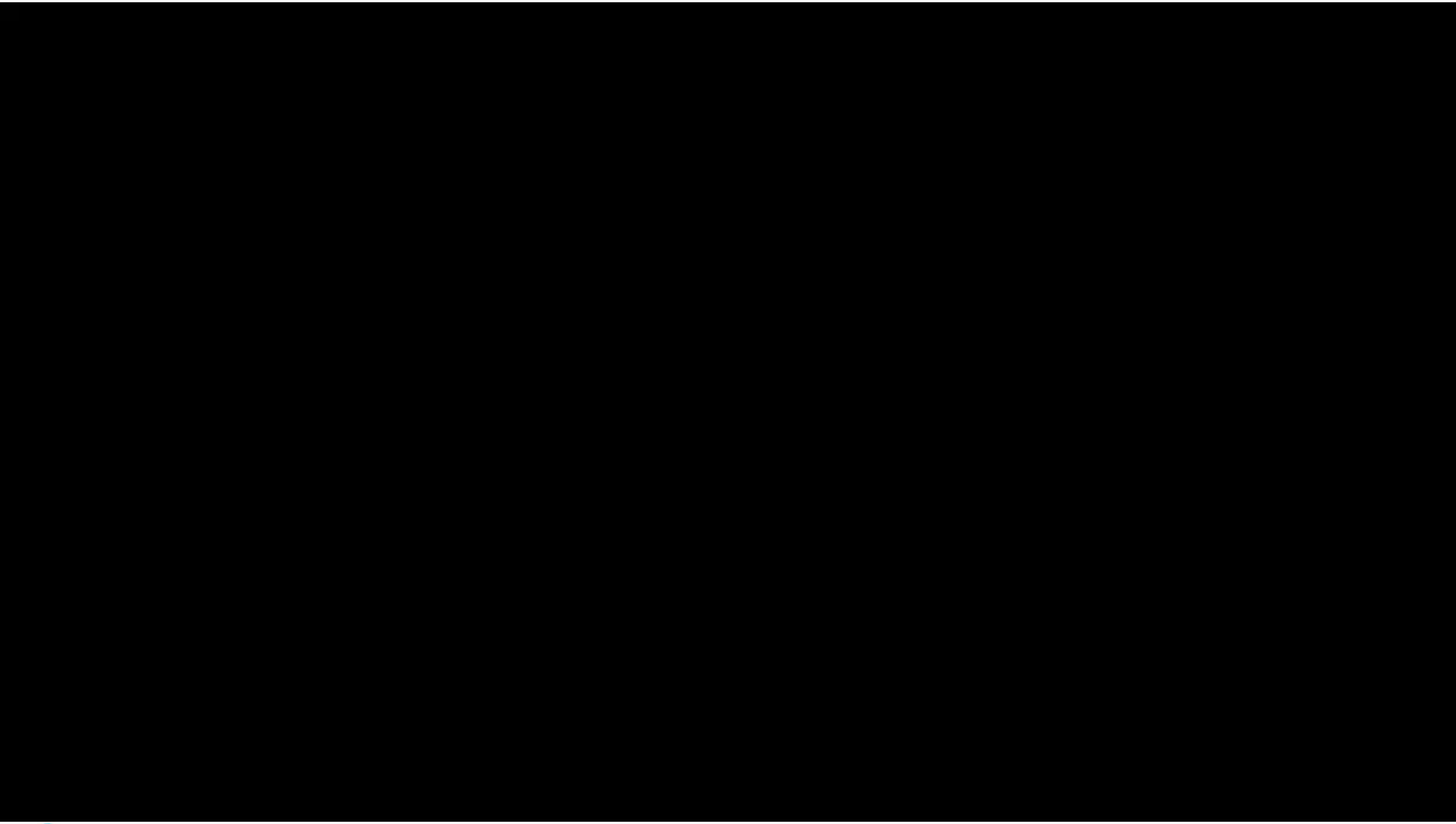


1. What is a Value Proposition? (1 min.) https://www.youtube.com/watch?v=n0KRT3Daloc



2 & 3. Innovating Through Value Chains and Processes (3 m.)

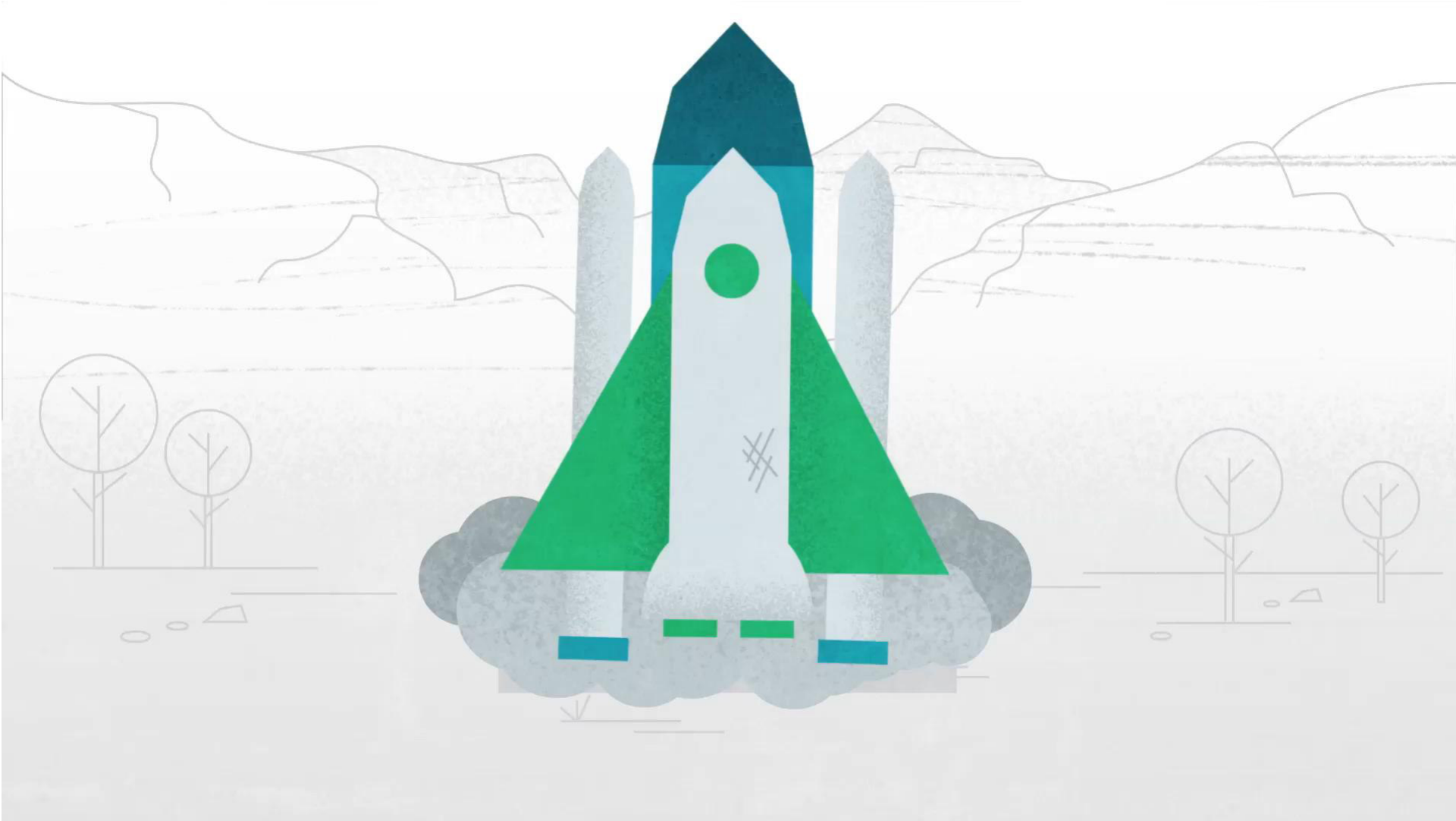
https://www.youtube.com/watch?v=qWXQQSXhuB8



4. Innovative Resources and Capabilities (1 m.)

https://www.youtube.com/watch?v=Guj5UU_ZNS4

5. Culture of Innovation (2 m.) https://www.youtube.com/watch?v=4tG3yLAQ3kY



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Overcoming barriers to entry through business model innovation

The high ENTRY BARRIERS imposed by large companies, do not allow many SMEs (Small & Middle Companies) to develop in their respective sectors.

So ... .. What can be done?

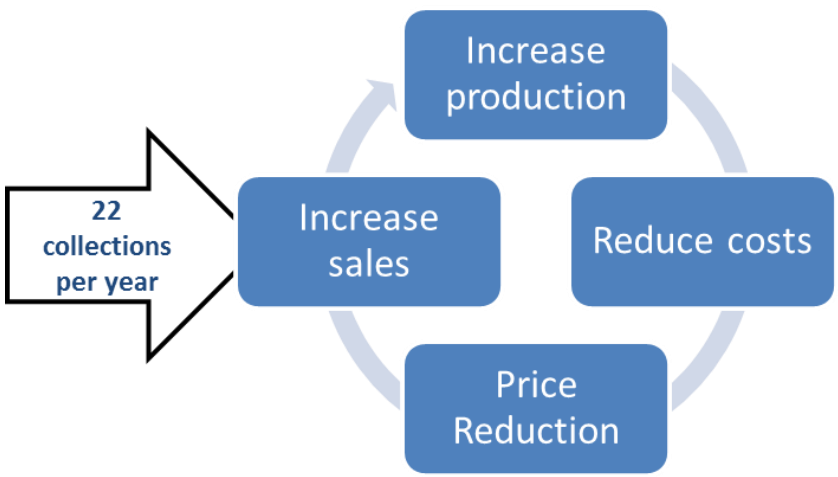
- Border barriers to entry and not come directly competitive confrontation.
- Don´t compete under the same rules.
- Follow different strategies.
- Search different targets or objectives.

Business Model Innovation

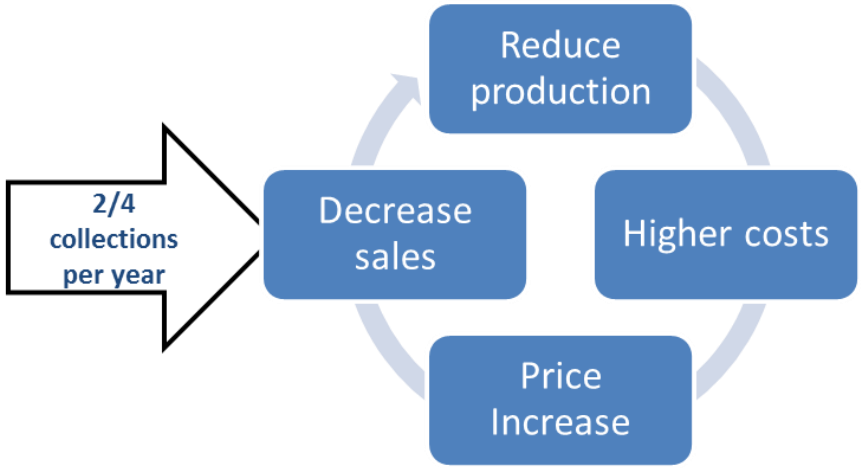


Zara business model virtuous circle vs. traditional textile industry business model vicious circle

ZARA / BENETTON / MANGO



Traditional Textile Industry



- Innovative business models are often born as startups (SMEs) seeking to adopt a new technology or satisfy a niche market where big firms fail.

  E.g.: Wal-Mart was born in 1962 as a small supermarkets at rural areas in the US at a good price. Today is the largest supermarket chain in the world.

  E.g.: Inditex (ZARA) was born in 70s with a shop in Galicia to offer customers a fresh and fashionable at the time.

  E.g.: Companies born "in a garage": Apple, Dell, Amazon, Google, Microsoft, etc.



Vs.





Why big companies react late?

1. They have great organizational rigidities. They find it hard to adapt their business model or make any changes in its organizational culture.

2. Trust is their defensive barriers and feel no threat until too late.

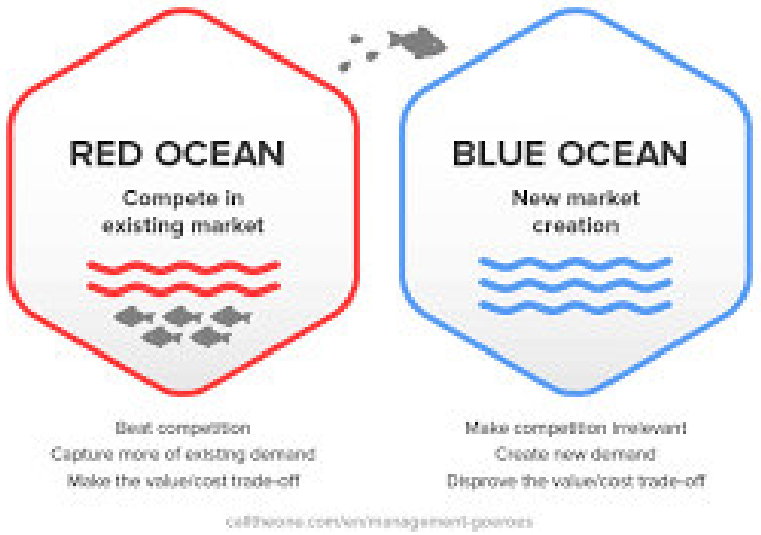
3. They are confident with their position (current market share) and are confident that the future will be like.

4. The corporate culture is based on respect for the hierarchy, *not to the ideas and meritocracy*.

Where is the oportunity?

Find new competitive spaces. →

"Competing in industries where there are many competitors is not a good way to get high performance. **The real opportunity is to create spaces untapped market** "(*Kim & Mauborgne, 2005*)



1. **Inventing a different industry**. Usually from a new technology.

E.g.: eBay, Google, etc.

2. **Changing the rules of the industry**.

E.g.: Cirque du Soleil, Inditex, IKEA, Southwest Airlines.

Where is the opportunity?

To create an innovative business model should be given a ***strategic opportunity in the environment or the industry*** *(Christensen, Johnson and Kagermann, 2008):*

1. There is an opportunity to capitalize on new technology. E.g.: + Ipod + Itunes Iphone (Apple).

2. Within the sector there is a need that is not properly covered. Eg. Fedex, Walmart.

3. When they are changing the basis of competitive rules. You can change what is considered acceptable in the competitive market.

Eg.: Ryanair, Inditex (Zara), etc.

4. Democratization of the market. Birth of a new disruptive technology that allows a large number of customers to enter the market, usually for lower prices. E.g.: Ikea, Tata, etc.

5. Socialization market. When the business model enables poor people access to basic services. Eg Grameen Bank and Grameen Danone Foods.

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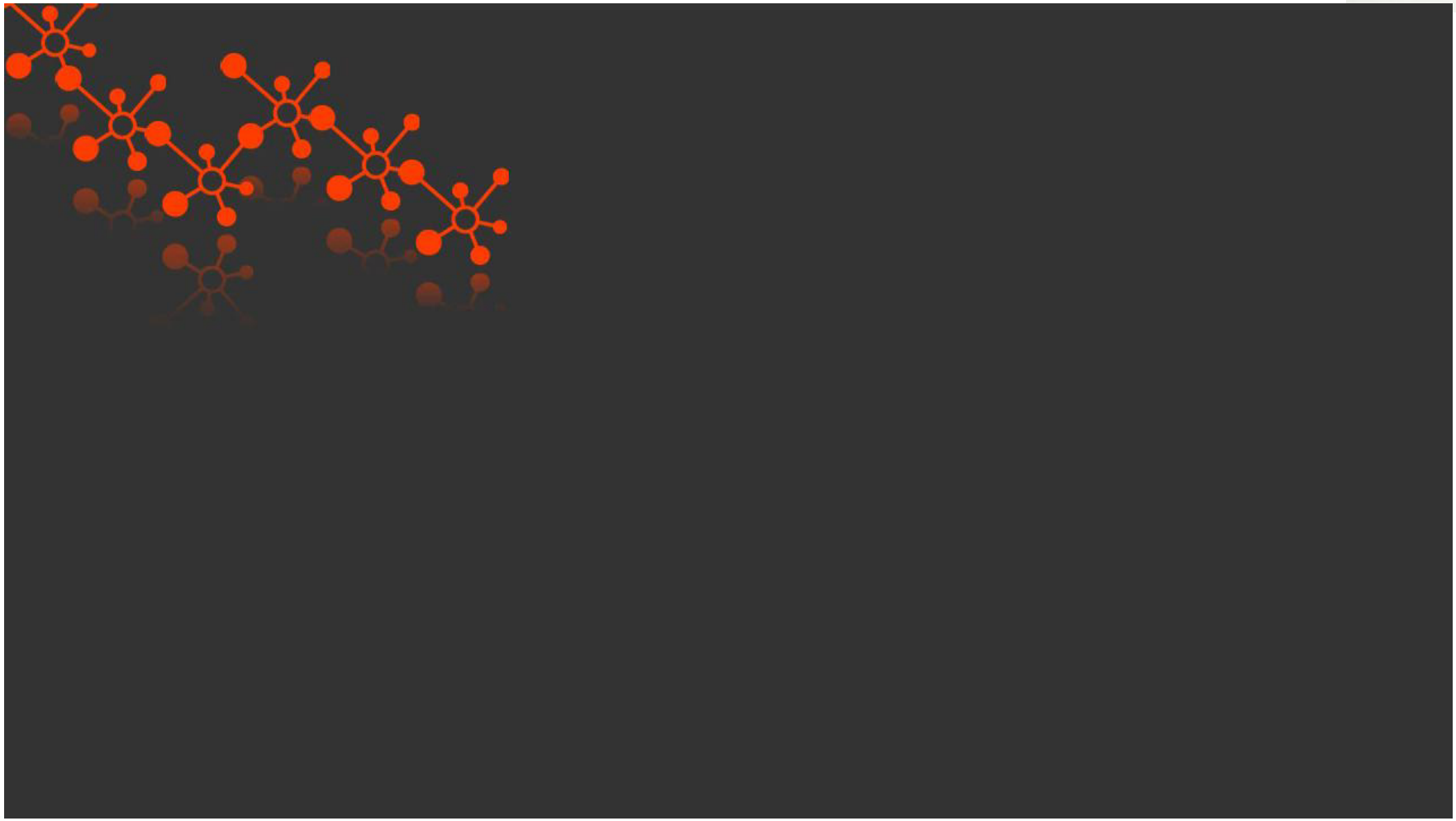
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Business model Canvas (A. Osterwalder)

Key Partners	Key Activities	Value Proposition	Customer Relationships	Customer Segments
	Key Resources		Channels	
Cost Structure		Revenue Streams		

Amazon, Spotify and Tinder - Business Model Innovation (5 min.)

https://www.youtube.com/watch?v=avWVPaJFgFk



Apple Business Model and Privacy Strategy (7 min.)

https://www.youtube.com/watch?v=EL9HE3DSZUM



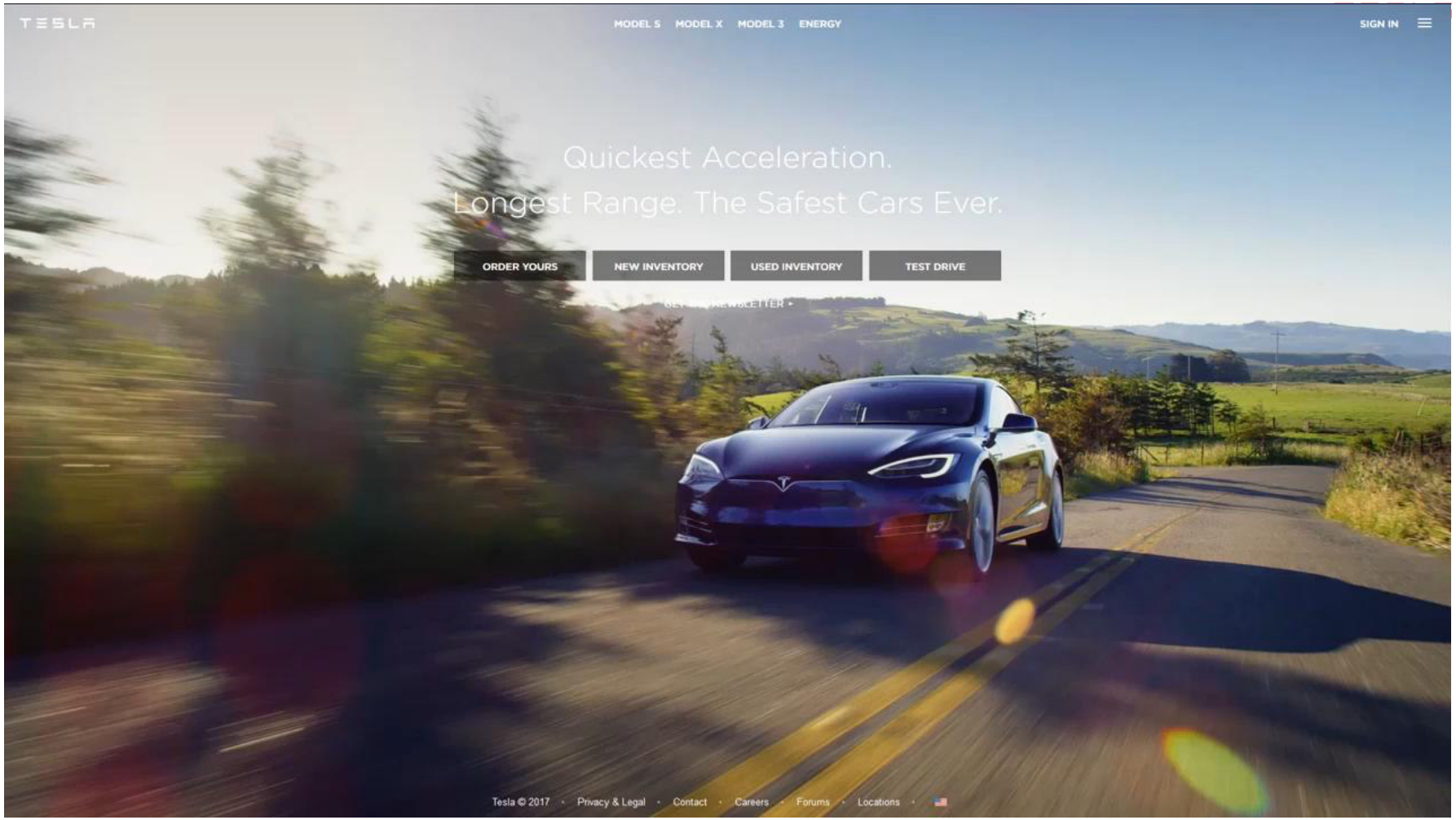
Netflix Business Model Strategy (8 min.)



https://www.youtube.com/watch?v=ZKrtUB-kMJc

Tesla Business Model : What Makes it so Attractive? (8 min.)

https://www.youtube.com/watch?v=kO3NKeBacgw

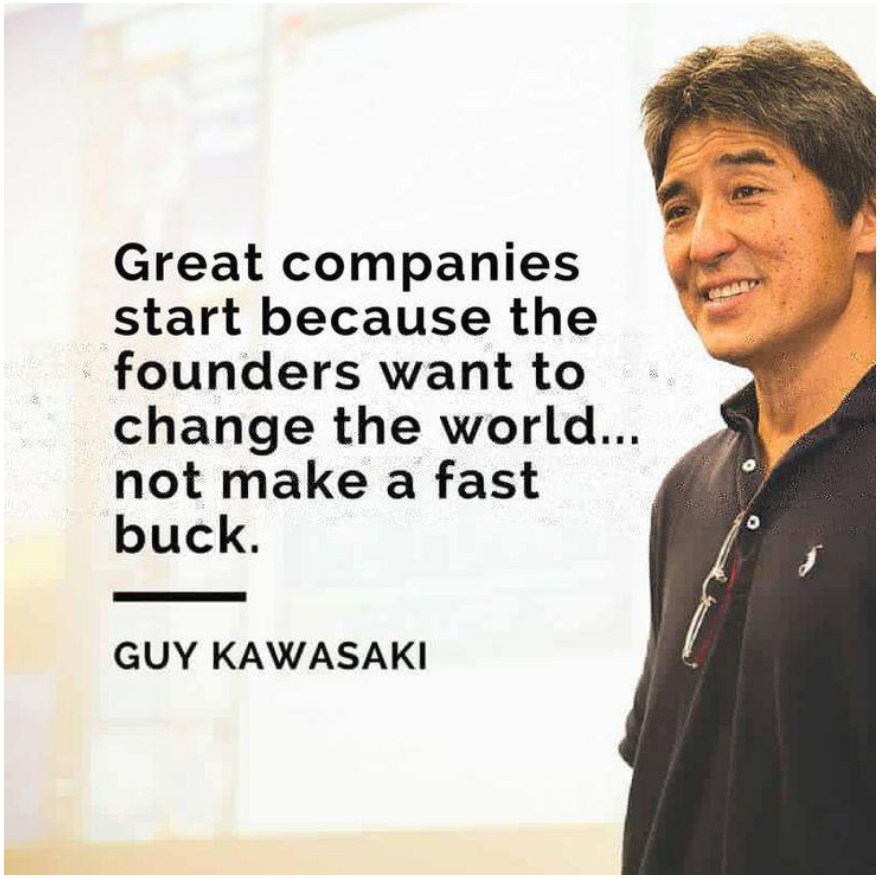




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Thanks a lot!

Any questions?

STRATEGY CAPSULE 4.1 (Grant Book)

Business Models for Complex Business Ecosystems: Google and Ryanair

Google: At the heart of Google's strategy is a business model whereby free search supports paid advertising—over two-thirds of the revenues of Google's parent, Alphabet, are generated by advertising placed on Google's own websites and applications. However, Google's full business model is more extensive. It includes the following:

• Using its advertising management capabilities and relationships with advertisers to manage advertising placements on other content providers' websites (AdSense).

• Gathering huge quantities of user data that allow more precise targeting of advertising.

• Protecting the availability and data-gathering capabilities of Google's search products by providing its own web browser (Chrome) and operating systems (Android, Chrome OS).

• Sustaining dominance of online advertising through launching competing products against rivals such as Apple, Facebook, and Microsoft.

Ryanair: At the core of Ryanair's strategy is the low-cost carrier business model developed by Southwest Airlines (see Figure 1.3 in Chapter 1). However, this model has been extended by Ryanair to exploit multiple sources of revenue generated by a range of partners. Elements of the Ryanair business model include the following:

• Extreme unbundling. In addition to paying for flight tickets, passengers are encouraged to pay for services such as seat assignments, checked baggage, priority boarding, credit card fees, and inflight refreshments.

• Payments from airports and local government authorities (incentives to Ryanair to initiate and maintain specific routes).

• Commission on sales of partners' complementary products and services such as car hire, train and bus services, insurance, hotels, theater, and sports tickets—also ticket sales for other airlines (e.g., Air Europa).

• Advertising on Ryanair website, travel magazine, and seat backs.

Sources: Allan Afuah, Business Model Innovation: Concepts, Analysis, and Cases (Routledge, 2014); Ryanair Holdings plc, Annual Report, 2017.

Uber Business Model : What makes it so Disruptive? (4 min.)

https://www.youtube.com/watch?v=gvEU656kVCQ

Why Uber Failed in China (11 min)

https://www.youtube.com/watch?v=KAsKPwfkiDw

WEBINAR: Introduction to Business Model Innovation (42 min.)

https://www.youtube.com/watch?v=ZFQ7N-vWDSM

Stanford Webinar - Business Model Transformation and Innovation (44 min.)

https://www.youtube.com/watch?v=mSm4db_ARQM